Raman Ispat (Pvt.) Ltd. & Anr. v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors.

Allahabad High Court · Division Bench · 4 September 2009 · 2009 SCC OnLine All 1064 · Civil Misc. Writ Petition No. 27290 of 2008 (with W.P. Nos. 16147 of 2009 and 16149 of 2009) · **All three connected writ petitions dismissed with costs**

HEADNOTE

Where a purchaser of premises seeks a fresh electricity connection or enhancement of load to the same premises, the distributor may lawfully stipulate, as a condition of supply, the clearing of the arrears left by the previous consumer of those premises. Although past electricity dues are not a charge on the premises and a transferee/subsequent occupant with no privity cannot be saddled with a predecessor's dues (Isha Marbles; Ahmedabad Electricity Co.), the Supreme Court in PVVNL v. DUS Steels held that when the purchaser approaches the distributor for a fresh connection or enhanced load to the same premises, the distributor can stipulate payment of the arrears as a condition, and such a stipulation is neither unreasonable nor arbitrary; the amended Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005 further makes seller and purchaser jointly and severally liable and the outstanding dues a first charge on the company's assets. On the facts, the Court, lifting the corporate veil, found R.P. Singh to be the person behind M/s Sai Steels, M/s Singh Alloys and the petitioner M/s Raman Ispat, and held that the recovery of Sai Steels' dues could be made a condition precedent to enhancement of Raman Ispat's load; the petitioners, having spun a web of acquisitions and name-changes and not come with clean hands, were denied relief and the petitions dismissed with costs.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)

Clearing predecessor's arrears may be stipulated as a condition of a fresh connection / load enhancement to the same premises

QUESTION

May a distributor require the purchaser of premises to clear the previous consumer's arrears as a condition of a fresh connection or enhancement of load to the same premises?

HOLDING

Yes. Following PVVNL v. DUS Steels, though past dues are not a charge on the premises and cannot be recovered from a transferee as such, the distributor may, when the purchaser seeks a fresh connection or enhanced load to the same premises, stipulate clearing of the arrears as a condition of supply; such a stipulation is not unreasonable or arbitrary. The amended Clause 4.3(f)(i) reinforces this by making the seller and purchaser jointly and severally liable for the outstanding dues and making those dues a first charge on the company's assets, entered in the agreement with the new applicant. ¶ (pp. 505-508)

LIMITING FACTS

Petitioner sought enhancement of Raman Ispat's contracted load; the licensee required clearance of M/s Sai Steels' arrears on the same industrial plot as a condition; amended Clause 4.3(f)(i) was not challenged.

INTERPLAY · UP-2005::4.3(f)

Lifting the corporate veil to fix arrears liability where the same person controls the defaulting and the applicant entities

QUESTION

Can the corporate veil be lifted to hold the applicant liable for the defaulting entity's dues where a common controlling person has used a web of acquisitions and name-changes to escape recovery?

HOLDING

Yes. The department was justified in lifting the veil and finding R.P. Singh to be the person behind M/s Sai Steels (the defaulter), M/s Singh Alloys and the petitioner M/s Raman Ispat, so that the dues of Sai Steels could be recovered from him and made a condition precedent to enhancement of Raman Ispat's load. The petitioners failed to prove the absence of relationship between the entities, withheld material facts to obtain an interim order, and did not come with clean hands; all three petitions were dismissed with costs. ¶ (pp. 509-512)

LIMITING FACTS

Common directors/partners; adjoining industrial plots; property routed through a PICUP auction (s.29, State Financial Corporations Act, 1951) and successive sale deeds back into the petitioner-company controlled by the same person; deed of dissolution and change of partners never produced.

PRINCIPLE TAGS

arrears-follow-premises-not-person-fresh-connection-vs-transfer Past dues are not a charge on premises and cannot be foisted on a mere transferee, but a distributor may stipulate clearance of arrears as a condition of a fresh connection or load enhancement to the same premises. Lead authorities: *Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels & Alloys Pvt. Ltd.*. ¶ (pp. 507-508)

arrears-run-with-the-premises Under the amended Clause 4.3(f)(i), clearing the outstanding dues on the premises is a condition of a fresh connection/enhancement, the dues being a first charge on the company's assets and seller and purchaser jointly and severally liable. ¶ (pp. 505-506)

lifting-corporate-veil-to-fix-arrears-liability Where a common controlling person uses a web of firms/companies and acquisitions to escape recovery, the veil may be lifted to hold the applicant entity liable for the defaulter's arrears as a condition of supply. ¶ (pp. 510-512)

no-relief-to-litigant-without-clean-hands A petitioner who withholds material facts and obtains an interim order by painting a false picture is not entitled to discretionary relief. ¶ (p. 512)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — APPLICABILITY OF THE AMENDED CLAUSE 4.3(F)(I) TO A STATUTORY AUCTION SALE BY A FINANCIAL CORPORATION PRIOR TO 11.8.2006

The petitioner argued Clause 4.3(f)(i) (in force 11.8.2006) did not apply to the earlier PICUP sale under the State Financial Corporations Act, 1951, but the petitions failed on the veil-lifting and clean-hands findings and the point was not decided in the petitioner's favour. ¶ (pp. 507-508)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels & Alloys Pvt. Ltd. JT 2008 (12) SC 672 (decided 7.11.2008) Supreme Court	Supply of electricity is a sale of goods; a transferee/subsequent occupant with no privity cannot be asked to pay a predecessor's dues as the amount is not a charge on the premises, but when the purchaser seeks a fresh connection or enhanced load to the same premises the distributor may stipulate clearing of the past dues as a condition of supply, and such a stipulation is neither unreasonable nor arbitrary.	Relied on to uphold the licensee's stipulation of clearing Sai Steels' arrears as a condition of enhancing Raman Ispat's load to the same premises. ¶ (p. 508)	Respondent	Relied on
Isha Marbles v. Bihar State Electricity Board (1995) 2 SCC 648 Supreme Court	It is impossible to impose on an auction-purchaser (a third party with no privity with the previous consumer) a liability for the electricity dues incurred by the previous owner/occupier.	Cited by the petitioner for the proposition that past dues cannot be enforced against a subsequent purchaser; distinguished/limited in light of DUS Steels where a fresh connection/enhancement to the same premises is sought. ¶ (pp. 506-508)	Petitioner	Distinguished
Ahmedabad Electricity Co. Ltd. v. Gujarat Inns (P) Ltd. (2004) SCC 587 (as cited) Supreme Court	Past electricity dues are not a charge over the property; the auction-purchaser may seek supply of energy without being saddled with the previous owner's dues.	Cited by the petitioner alongside Isha Marbles; not applied to defeat the licensee's stipulation given DUS Steels. ¶ (pp. 506-507)	Petitioner	Distinguished